RBI, MONETARY POLICY AND LIQUIDITY MANAGEMENT

POLICY SIGNAL VERSUS IMPLEMENTATION → LIQUIDITY CORRIDOR → CRR VERSUS OMO → MPC INSTITUTION MAP → INFLATION TARGET FRAME → TRANSMISSION CHAIN

Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure; the grey E card is optional enrichment only and never repairs missing core content.

● PRIMARY CORE FLOW · ● SUBORDINATE EXTRA · ● APPROVAL / REVIEW

Approval: FALSE • Pending user review • source generation g3 and all prior artifacts unchanged

CORE BEFORE EXTRA • prior artefacts unchanged • exact same master drives poster and tiles

00

STAGE 00 POLICY SIGNAL VERSUS IMPLEMENTATION

POLICY SIGNAL VERSUS IMPLEMENTATION · REPO-RATE SIGNAL · RBI OPERATIONS · LIQUIDITY ALIGNMENT · OPERATING TARGET · STANCE AND QUANTITY ARE DISTINCT · MUST REMEMBER · RBI MONETARY POLICY WORKS THROUGH THE POLICY RATE, LIQUIDITY

CORE CLAIM
- MPC → repo-rate signal
- RBI OPERATIONS → liquidity alignment

MECHANISM
- WACR → operating target
- TRAP → stance and quantity are distinct

CONSEQUENCE / LIMIT
- MUST REMEMBER: RBI monetary policy works through the policy rate, liquidity framework,...
- MPC → repo-rate signal

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: MUST REMEMBER: RBI monetary policy works through the policy rate, liquidity framework,.

01

STAGE 01 LIQUIDITY CORRIDOR

LIQUIDITY CORRIDOR · OVERNIGHT BACKSTOP · COLLATERALISED INJECTION · MARKET OPERATING RATE · UNCOLLATERALISED ABSORPTION

MSF → overnight backstop

REPO → collateralised injection → WACR → market operating rate → SDF → uncollateralised absorption

CORE CLAIM
- MSF → overnight backstop
- REPO → collateralised injection

MECHANISM
- WACR → market operating rate
- SDF → uncollateralised absorption

CONSEQUENCE / LIMIT
- MSF → overnight backstop
- REPO → collateralised injection

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: WACR → market operating rate; SDF → uncollateralised absorption.

02

STAGE 02 CRR VERSUS OMO

CRR VERSUS OMO · RESERVE IMPOUNDING RATIO · OUTRIGHT G-SEC TRANSACTION · BROAD BANK-RESOURCE EFFECT · DURABLE LIQUIDITY + YIELD EFFECT

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
CRR → reserve impounding ratio	CRR → broad bank-resource effect	CRR → reserve impounding ratio
OMO → outright G-sec transaction	OMO → durable liquidity + yield effect	OMO → outright G-sec transaction

CORE CLAIM
- CRR → reserve impounding ratio
- OMO → outright G-sec transaction

MECHANISM
- CRR → broad bank-resource effect
- OMO → durable liquidity + yield effect

CONSEQUENCE / LIMIT
- CRR → reserve impounding ratio
- OMO → outright G-sec transaction

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CRR → broad bank-resource effect; OMO → durable liquidity + yield effect.

03

STAGE 03 MPC INSTITUTION MAP

MPC INSTITUTION MAP · RBI GOVERNOR · MONETARY-POLICY DEPUTY GOVERNOR · ONE RBI OFFICER + THREE EXTERNAL MEMBERS · SIX MEMBERS · REPO DECISION

RBI GOVERNOR

MONETARY-POLICY DEPUTY GOVERNOR → ONE RBI OFFICER + THREE EXTERNAL MEMBERS → SIX MEMBERS → repo decision

CORE CLAIM
- RBI GOVERNOR

MECHANISM
- ONE RBI OFFICER + THREE EXTERNAL MEMBERS

CONSEQUENCE / LIMIT
- RBI GOVERNOR

- CRR → reserve impounding ratio
- OMO → outright G-sec transaction

- CRR → broad bank-resource effect
- OMO → durable liquidity + yield effect

- CRR → reserve impounding ratio
- OMO → outright G-sec transaction

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CRR → broad bank-resource effect; OMO → durable liquidity + yield effect.

03

STAGE 03

MPC INSTITUTION MAP

MPC INSTITUTION MAP · RBI GOVERNOR · MONETARY-POLICY DEPUTY GOVERNOR · ONE RBI OFFICER + THREE EXTERNAL MEMBERS · SIX MEMBERS · REPO DECISION

RBI GOVERNOR

MONETARY-POLICY DEPUTY GOVERNOR → ONE RBI OFFICER + THREE EXTERNAL MEMBERS → SIX MEMBERS → repo decision

CORE CLAIM
- RBI GOVERNOR
- MONETARY-POLICY DEPUTY GOVERNOR

MECHANISM
- ONE RBI OFFICER + THREE EXTERNAL MEMBERS
- SIX MEMBERS → repo decision

CONSEQUENCE / LIMIT
- RBI GOVERNOR
- MONETARY-POLICY DEPUTY GOVERNOR

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: ONE RBI OFFICER + THREE EXTERNAL MEMBERS; SIX MEMBERS → repo decision.

04

STAGE 04

INFLATION TARGET FRAME

INFLATION TARGET FRAME · NOMINAL ANCHOR · HEADLINE CPI · 4 PER CENT · PLUS/MINUS 2 PERCENTAGE POINTS · PRICE STABILITY WHILE MINDFUL OF GROWTH

CORE CLAIM
- NOMINAL ANCHOR → headline CPI
- TARGET → 4 per cent

MECHANISM
- TOLERANCE → plus/minus 2 percentage points
- MANDATE → price stability while mindful of growth

CONSEQUENCE / LIMIT
- NOMINAL ANCHOR → headline CPI
- TARGET → 4 per cent

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: MANDATE → price stability while mindful of growth.

05

STAGE 05

TRANSMISSION CHAIN

TRANSMISSION CHAIN · REPO + COMMUNICATION · WACR + FUNDING + DEPOSIT RATES · LENDING RATES + CREDIT + DEMAND · OUTPUT AND INFLATION WITH LAGS · CLOSE DISTINCTION · REPO POLICY RATE IS NOT EVERY LIQUIDITY OPERATION, LIQUIDITY

REPO + COMMUNICATION → WACR + funding + deposit rates → lending rates + credit + demand → output and inflation with lags → CLOSE DISTINCTION: Repo policy rate is not every liquidity operation, liquidity surplus

CORE CLAIM
- REPO + COMMUNICATION
- WACR + funding + deposit rates

MECHANISM
- lending rates + credit + demand
- output and inflation with lags

CONSEQUENCE / LIMIT
- CLOSE DISTINCTION: Repo policy rate is not every liquidity operation, liquidity surplus...
- REPO + COMMUNICATION

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE DISTINCTION: Repo policy rate is not every liquidity operation, liquidity surplus.

06

STAGE 06

PANDEMIC PACKAGE

PANDEMIC PACKAGE · REPO REDUCTIONS · CRR EASING · OMO PURCHASES · TARGETED LONGER-TERM LIQUIDITY

REPO REDUCTIONS

CRR EASING → OMO PURCHASES → TARGETED LONGER-TERM LIQUIDITY

CORE CLAIM
- REPO REDUCTIONS
- CRR EASING

MECHANISM
- OMO PURCHASES
- TARGETED LONGER-TERM LIQUIDITY

CONSEQUENCE / LIMIT
- REPO REDUCTIONS
- CRR EASING

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: REPO REDUCTIONS; CRR EASING; OMO PURCHASES; TARGETED LONGER-TERM LIQUIDITY.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE DISTINCTION: Repo policy rate is not every liquidity operation, liquidity surplus.

06

STAGE 06 PANDEMIC PACKAGE

PANDEMIC PACKAGE | REPO REDUCTIONS | CRR EASING | OMO PURCHASES | TARGETED LONGER-TERM LIQUIDITY

REPO REDUCTIONS

CRR EASING → OMO PURCHASES → TARGETED LONGER-TERM LIQUIDITY

CORE CLAIM
- REPO REDUCTIONS
- CRR EASING

MECHANISM
- OMO PURCHASES
- TARGETED LONGER-TERM LIQUIDITY

CONSEQUENCE / LIMIT
- REPO REDUCTIONS
- CRR EASING

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: REPO REDUCTIONS; CRR EASING; OMO PURCHASES; TARGETED LONGER-TERM LIQUIDITY.

07

STAGE 07 PASS-THROUGH FRICTIONS

PASS-THROUGH FRICTIONS | EBLR LOANS | FASTER RESPONSE | LEGACY LOANS | SLOWER RESPONSE | FUNDING + COMPETITION + RISK | UNEVEN BURDEN

EBLR LOANS → faster response

DEPOSITS / LEGACY LOANS → slower response → FRICTIONS → funding + competition + risk → RESULT → uneven burden

CORE CLAIM
- EBLR LOANS → faster response
- DEPOSITS / LEGACY LOANS → slower response

MECHANISM
- FRICTIONS → funding + competition + risk
- RESULT → uneven burden

CONSEQUENCE / LIMIT
- EBLR LOANS → faster response
- DEPOSITS / LEGACY LOANS → slower response

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: FRICTIONS → funding + competition + risk; RESULT → uneven burden.

08

STAGE 08 FOREX-LIQUIDITY BRIDGE

FOREX-LIQUIDITY BRIDGE | FOREX INTERVENTION | DOMESTIC LIQUIDITY CHANGES | ABSORPTION OFFSET | VOLATILITY SMOOTHING, NOT A FIXED RATE

FOREX INTERVENTION → domestic liquidity changes → OMO / absorption offset → LIMIT → volatility smoothing, not a fixed rate

CORE CLAIM
- FOREX INTERVENTION
- domestic liquidity changes

MECHANISM
- OMO / absorption offset
- LIMIT → volatility smoothing, not a fixed rate

CONSEQUENCE / LIMIT
- FOREX INTERVENTION
- domestic liquidity changes

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: LIMIT → volatility smoothing, not a fixed rate.

09

STAGE 09 MONEY MULTIPLIER

MONEY MULTIPLIER | RESERVE MONEY | BANK DEPOSITS AND LENDING | LOWER CRR | HIGHER POTENTIAL MULTIPLIER | BANKS MAY HOLD RESERVES OR AVOID RISK

RESERVE MONEY → bank deposits and lending → LOWER CRR / LEAKAGE → higher potential multiplier → LIMIT → banks may hold reserves or avoid risk

CORE CLAIM
- RESERVE MONEY
- bank deposits and lending

MECHANISM
- LOWER CRR / LEAKAGE → higher potential multiplier
- LIMIT → banks may hold reserves or avoid risk

CONSEQUENCE / LIMIT
- RESERVE MONEY
- bank deposits and lending

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: LIMIT → banks may hold reserves or avoid risk.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: LIMIT → volatility smoothing, not a fixed rate.

09

STAGE 09 MONEY MULTIPLIER

MONEY MULTIPLIER · RESERVE MONEY · BANK DEPOSITS AND LENDING · LOWER CRR · HIGHER POTENTIAL MULTIPLIER · BANKS MAY HOLD RESERVES OR AVOID RISK

RESERVE MONEY → bank deposits and lending → LOWER CRR / LEAKAGE → higher potential multiplier → LIMIT → banks may hold reserves or avoid risk

CORE CLAIM
- RESERVE MONEY
- bank deposits and lending

MECHANISM
- LOWER CRR / LEAKAGE → higher potential multiplier
- LIMIT → banks may hold reserves or avoid risk

CONSEQUENCE / LIMIT
- RESERVE MONEY
- bank deposits and lending

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: LIMIT → banks may hold reserves or avoid risk.

10

STAGE 10 RBI BALANCE-SHEET TRAPS

RBI BALANCE-SHEET TRAPS · NOTES ISSUED · FX INTEREST · INCOME SOURCE · PAYMENT STORAGE · SUPERVISORY DIRECTION · MATCH SPONSOR AND SUBJECT

NOTES ISSUED → liability

G-SEC / FX INTEREST → income source → PAYMENT STORAGE → supervisory direction → COMMITTEES → match sponsor and subject

CORE CLAIM
- NOTES ISSUED → liability
- G-SEC / FX INTEREST → income source

MECHANISM
- PAYMENT STORAGE → supervisory direction
- COMMITTEES → match sponsor and subject

CONSEQUENCE / LIMIT
- NOTES ISSUED → liability
- G-SEC / FX INTEREST → income source

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: PAYMENT STORAGE → supervisory direction; COMMITTEES → match sponsor and subject.

11

STAGE 11 MONETARY-POLICY ANSWER SPINE

MONETARY-POLICY ANSWER SPINE · DIAGNOSE INFLATION AND OUTPUT · STATE MPC SIGNAL · MAP LIQUIDITY IMPLEMENTATION · TEST TRANSMISSION, GROWTH AND EXTERNAL LIMITS · EVIDENCE LIMIT · PRESERVE RBI ACT, MPC, OPERATING TARGET AND

DIAGNOSE inflation and output → STATE MPC signal → MAP liquidity implementation → TEST transmission, growth and external limits → EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: Preserve RBI Act, MPC, operating target and

CORE CLAIM
- DIAGNOSE inflation and output
- STATE MPC signal

MECHANISM
- MAP liquidity implementation
- TEST transmission, growth and external limits

CONSEQUENCE / LIMIT
- EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: Preserve RBI Act, MPC, operating target and...
- DIAGNOSE inflation and output

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: Preserve RBI Act, MPC, operating target and.

E

EXTRA SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENT · SEPARATE STANCE, POLICY RATE, OPERATING TARGET, LIQUIDITY CORRIDOR AND · THE FORMAL TARGET CONCERNS HEADLINE CPI, THE REPO IS · TRANSMISSION CHANNELS INCLUDE INTEREST RATES, BANK CREDIT, ASSET PRICES · A LIQUIDITY DEFICIT CAN KEEP OVERNIGHT RATES FIRM EVEN · VARIABLE-RATE OPERATIONS CAN FINE-TUNE TRANSIENT LIQUIDITY WHILE OMOS ADDRESS · FISCAL CASH BALANCES, CURRENCY LEAKAGE, CAPITAL FLOWS AND GOVERNMENT · RBI'S BALANCE-SHEET ACTIONS CAN INFLUENCE BOTH RUPEE LIQUIDITY AND

OPTIONAL SOURCE DEPTH
- CAUTION: Separate stance, policy rate, operating target, liquidity corridor and instruments;
- CAUTION: The formal target concerns headline CPI, the repo is the MPC's policy signal and WACR
- CAUTION: Transmission channels include interest rates, bank credit, asset prices, exchange rates
- CAUTION: A liquidity deficit can keep overnight rates firm even when the announced stance is

ADVANCED DEBATE
- CAUTION: Variable-rate operations can fine-tune transient liquidity while OMOs address durable
- CAUTION: Fiscal cash balances, currency leakage, capital flows and government spending create
- CAUTION: RBI's balance-sheet actions can influence both rupee liquidity and foreign-exchange
- Monetary Policy Committee: decides the policy repo rate under the inflation

LEGACY / NUANCE
- RBI Financial Markets Operations Department: conducts liquidity operations and
- Scheduled commercial banks and primary dealers: transmit policy through money,
- Government cash-management system: changes autonomous liquidity through taxes,
- CAUTION: An OMO purchase injects durable liquidity by buying government securities outright.

OPTIONAL STATUS — This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.

END OF MASTER CANVAS • poster embeds this exact master • tiled pages are overlapping crops of the same pixels